Dear Sirs

Re: Warwick House, 8 Addison Crescent, London W14 8JP (Title No: BGL25559) (the "Property") Charge in favour of Barclays Bank Plc (the "Bank") dated 2 February 2009 (the "Charge")
Our client: Nicola Johnson (formerly Nicola Takieddine)

We are acting for Nicola Johnson (formerly Nicola Takieddine) in relation to the Charge obtained over the Property and registered in favour of the Bank on 2 February 2009.

The Charge purported to secure a loan made by the Bank to Warwick Estates Limited of £6m (apparently there was an additional €6m loan provided by the Bank to SCI Lamartine at the same time, although this element is not secured by the Charge). It is clear from the enclosed CDD/Meeting Report that the Bank knew it was to all intents and purposes lending to Ziad Mounir Takieddine.

At the time of the Charge our client was married to Mr Takieddine and lived at the Property. The Property was registered in the name of Warwick Estates Limited, a company registered in the British Virgin Islands (formerly owned by Warwick Estates (Ireland) ltd, itself formerly known as Sylvano properties Ltd). However the Bank was fully aware that the true beneficial owners were in fact our client and Mr Takieddine.

The Bank provided this facility to Mr Takieddine at a time of intense public suspicion around his involvement in an international scandal concerning allegations of corruption arising from defence contracts. For example, see the enclosed article dated 5 February 2007 taken from the online publication Bakchich. In fact these allegations have led to charges in regard to the "*Karachi affair*" (where 11 French engineers were killed in 2002 allegedly as a direct consequence of an arms deal where Mr Takieddine was the sales intermediary). Mr Takieddine's assets were frozen by the French State pending the conclusion of its investigation into political corruption by Mr Takieddine within the Karachi affair and the Organisation Frauduleuse de L'insolvabilité (Fraudulent Self-Insolvency) proceedings.

In 2008 and 2009, the Bank was aware of Mr Takieddine's closeness to Mr Sarkozy and his activities in Gaddafi's Libya. This closeness was clear for all to see – for example Mr Takieddine organised a series of visits to Tripoli by Mr Sarkozy and his key lieutenants to secure financing for Mr Sarkozy's 2007 election campaign – however it is also made explicit in the Bank's credit proposal:

1 Sarko visit.

"*...Ziad's business is primarily derived from arranging contracts between the French government and the Middle East, specifically Libya and Lebanon. He is a personal acquaintance of the French premier, Nicolas Sarkozy, and was responsible for introducing him to the Libyan government. His current income is derived from a contract he negotiated – for the provision of electronic surveillance equipment for monitoring email and internet traffic – between the French and Libyan governments...*"

...Discussions with contacts of the IPB have confirmed Mr Takieddine's bona fides and reputation as a go-between for the French government and businesses when approaching Libya and Lebanon, and his lifestyle and income are commensurate with this position....

...media reports have confirmed the existence of both the contracts with the Libyan government and MrTakieddine's role in their creation..."

These were key selling points for the Bank in the credit application, at a time when the Bank was seeking investment from the Gaddafi regime, as reported in the Daily Telegraph on 30 October 2008 (enclosed). The credit proposal itself states:

"*...the client's contacts in Libya are clearly of the highest order...the potential for introduced business from Ziad is substantial...*

...Mr Takieddine is the kind of person we should be endeavouring to develop a relationship with. His contacts and influence in Libya are significant, and we are actively pursuing business in that country."

Sounds like the bank must have been worried about dealing with him.

Mr Takieddine's business activities in Libya must have been concerning for the bank. Mr Takieddine was recognised by the bank as a politically exposed person, presenting a higher risk for bribery and corruption. Mr Takieddine played a central role in the illegal funding by the Libyan regime of Sarkozy's successful 2007 presidential campaign, for which Mr Sarkozy currently faces charges of passive corruption, illegal campaign financing and misappropriation of Libyan public funds.

The bank was also aware of the contract negotiated by Mr Takieddine between the French and Libyan governments for the provision of electronic surveillance equipment for monitoring e-mail and internet traffic in Libya. The International Federation for Human Rights (FIDH) has said that the system was aimed at targeting Libyan opposition figures, arresting them and putting them in prison, where they were tortured, and has confirmed that the French courts have opened an investigation into the transaction on the basis of war crimes, crimes against humanity and genocide.

There were clear indications to the bank that he would not be able or willing to repay the debt. Mr Takieddine's integrity was impugned. We understand ~~from Mediapart.fr~~ articles in the French press that Mr Takieddine was used as an intermediary by the French government to satisfy the demand of the Libyan regime to put an end to the judicial consequences of a life imprisonment sentence made by a French court in 1999 against Gaddafi's brother-in-law Abdullah Senussi, for his part in the 1989 bombing of a French passenger plane over Niger, in which 170 people were killed. The International Criminal Court issued arrest warrants to Senussi, Gaddafi and his son, Saif al-Islam, for "murder and crimes against humanity". While negotiating a rapprochement between France and Libya, Mr Takieddine served as a protector for Gaddafi's nephew Mohammed al-Senussi. Senussi was charged in 2006 with a savage attack on two Brazilian escort girls at his London home.

In total disregard of these concerns the Bank continued to fund Mr Takieddine and took the Charge over the Property. Takieddine has since been placed under formal investigation by a French magistrate ("mise en examen") for corruption, aggravated money laundering and a collection of alleged fraudulent activities. In 2011 Mr Takieddine was arrested at Le Bourget airport after his flight to Libya was redirected and the customs officers found 1.5 million euros on board.

Recently mise en examen in the Libyan funding investigation.

Not only did the Bank disregard the concerns it must have harboured about Mr Takieddine, it also took no account of the fact that our client:

a) was entitled to a beneficial interest in the Property; and

b) was in actual occupation of the Property at the time the Charge was completed.

You were aware that our client was in occupation of the Property (see for example paragraph 6.3.1 of the Savills valuation report dated 22 December 2008, addressed to the Bank). You should have been aware that our client had a beneficial interest in the Property and yet she is mentioned nowhere in the bank's CCD/Meeting Report. The Bank did not obtain our Client's consent to the Charge and accordingly that interest overrides the register and is not bound by the Charge (Gissing v Gissing [1971] AC 881, Lloyds Bank v Rosset [1991] 1 AC 107).

As you are aware, our client's marriage to Mr Takieddine was subject to the French matrimonial regime. They had elected not to enter into a marriage contract and automatically adopted the default regime of *universal community of assets*. This applied to all property acquired after their marriage. Under the regime of community of property, all the assets acquired after the date of the marriage expressly constituted a pool of assets jointly owned in undivided shares. In any event, even in the absence of an express agreement, the Bank should have been able to infer a common intention from the conduct of the parties. Our client was in occupation and had previously registered a Home Rights Notice under the Family Law Act 1996, only to remove it in 2007 owing to pressure exerted by Mr Takieddine. The Bank knew of her interest and were aware that a divorce was a distinct possibility. Accordingly the Bank must accept that the Charge does not bind our client. Both HRN's ?

It seems that the Bank had been funding Mr Takieddine for some time and was intimately aware of his affairs. Accordingly the Bank was more concerned about obtaining security against Mr Takieddine than establishing what rights our client may have enjoyed. The Bank did not ask our client to take independent advice and did not request that she waive or postpone her rights. All of the Bank's

NT was not approached by the Bank.
No figure was mentioned.
2 properties not mentioned.

Mr T is a key figure in the ongoing investigation of the illegal funding of Sk's campaign. Mr T stated publicly that he carried suitcases of cash from Libya to Sarko.

meetings with Mr Takieddine took place in her absence. Instead they simply asked our client to remove the Home Rights Notice. This request was administered by Laytons, the solicitors acting for the Bank. They were not interested in obtaining any clarification of the position and presumably the Bank simply wanted to *tidy the register* for internal presentation reasons.

It is a damming indictment of the bank that it knew Mr Takieddine was raising funds for the purpose of financing a Boeing 727 private aircraft (unbeknown to our client). This was just one of a series of transactions whereby Mr Takieddine moved tens of millions of Euros to Lebanon, out of the reach of our client and without her consent. Mr Takieddine has lied to the Courts, forged documents and our client's signature in attempts to prevent our client receiving anything under the divorce, which Mr Takieddine instigated in 2006. Most notably Mr Takieddine forged a share sale agreement to enable his company Warwick Estates Limited to issue possession proceedings against our client in [2010]. Mr Takieddine has twice been convicted for Abandon de Famille in France ~~and also~~ for wilful neglect. Mr Takieddine is currently the subject of an arrest warrant (enclosed) issued by Westminster Magistrates Court for offences including perverting the course of justice and conspiring to pervert the course of justice. The warrant is not backed for bail.

This was clearly a situation where the bank believed or suspected that our client had been misled by her husband and was not removing the home rights notice of her own free will. As stated by Lord Bingham in the leading case of Royal Bank of Scotland v Etridge (AP) [2001] UKHL 44, in those circumstances the bank was required to inform our client's solicitors of the facts giving rise to its belief or suspicion. However, the bank did no such thing.

In the circumstances we invite the Bank to confirm that it will agree to release the Charge against the Property and require your response within 28 days.

All rights are reserved with respect to the equivalent charge against Mr and Mrs Takieddine's Paris property.

Yours faithfully

Charles Russell Speechlys LLP

3 times. Last time received a suspended prison sentence.